

 Legal and Regulatory Framework

Document ID: BY-PL-001 | Category: Policies | Status: Active | Version: 1.0 | Date: 2024

Document ID	BY-PL-001
Title	Legal and Regulatory Framework
Category	Policies
Source	Housing Act (Cap. 117); Housing Fund Regulations, 2018 (Legal Notice No. 238); Affordable Housing Act, 2024
Publication Date	2024
Version	1.0
File Name	BomaYetu_Policies_Legal_Regulatory_Framework_2024.pdf
Status	Active

Overview

The Affordable Housing Programme operates within a **comprehensive legal framework** established by Kenyan law. This document outlines the key legislation and regulations governing the programme.

Key Legislation

 The Constitution of Kenya, 2010

Article 43(1)(b) Every person has the right to **accessible and adequate housing**

Article 10(2)

National values and governance principles include **democracy and participation** of the people

Article 227

Procuring entities must contract for goods and services in a **fair, equitable, transparent, competitive, and cost-effective** manner

 The Housing Act (Cap. 117)

- | | |
|--------------|---|
| Section 3 | Establishes the National Housing Corporation (NHC) |
| Section 6(1) | Establishes the Housing Fund |
| Section 24 | Empowers the Cabinet Secretary to make regulations |

 The Housing Fund Regulations, 2018 (Legal Notice No. 238)

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|---------------|--|
| Regulation 3 | Defines the Housing Fund as an affordable housing scheme |
| Regulation 4 | Mandates registration of employers and employees |
| Regulation 14 | Sets eligibility criteria for the affordable housing scheme |
| Regulation 16 | Establishes loan evaluation criteria |
| Regulation 18 | Sets interest rates at up to 7% per annum |

 The Affordable Housing Act, 2024

- | | |
|------------|--|
| Section 16 | Establishes the Affordable Housing Board as a body corporate |
| Various | Ring-fences Housing Levy funds for housing, infrastructure, and financing support |

 The Employment Act, 2007

- | | |
|-------------|---|
| Section 31A | Provides for employer and employee contributions to the Housing Fund |
|-------------|---|

 The Finance Act, 2018

Section 31A

Mandates **3% employer and 3% employee** contributions to the Housing Fund

Key Definitions

**Affordable Housing Scheme**

Social housing (up to KES 19,999/month), Low-cost housing (KES 20,000–49,999/month), Mortgage gap housing (KES 50,000–149,999/month), or Middle to high income housing (KES 150,000+/month)

**Contribution**

A contribution payable under the Housing Fund Regulations

**Contributor**

A person making a contribution

**Corporation**

The **National Housing Corporation (NHC)** established by section 3 of the Housing Act

**Dependant**

A spouse, child, or nominated beneficiary of a deceased member

**Employee**

As defined under **section 2** of the Employment Act

**Employer**

As defined under **section 2** of the Employment Act

**Housing Fund Account**

An account created for each member where **mandatory and voluntary contributions** accrue

**Member**

A person **registered** with the Housing Fund

**Voluntary Member**

A **self-employed, retired, or unregistered** person who makes monthly contributions

Eligibility and Registration Requirements

Employer Registration

Requirement	Description
Mandatory Registration	Every employer with one or more employees must register with the Housing Fund
Employee Registration	Employers must register their employees as members
Foreign Workers	Foreigners working in Kenya are exempt from registration

Employee Registration

Requirement	Description
Mandatory Registration	Every employee under a contract of service must register
Exemption	Foreigners working in Kenya are exempt

Voluntary Member Registration

Requirement	Description
Eligibility	Self-employed persons may register as voluntary members
Age	Must be a citizen of Kenya of at least 18 years of age
Proof of Registration	Must produce proof of registration

Offences and Penalties

✗ Failure to Register

Imprisonment up to **2 years** OR fine up to **KES 10,000** OR both

 Failure to Make Contributions

Imprisonment up to **2 years** OR fine up to **KES 10,000** OR both

 Failure to Keep Records

Imprisonment up to **2 years** OR fine up to **KES 10,000** OR both

 Misappropriation of Funds

Imprisonment up to **2 years** OR fine up to **KES 10,000** OR both

Winding Up

Provision	Description
Cash Balances	Transferred to the Exchequer
Other Assets	Transferred to the Ministry in charge of housing to facilitate appropriate refunds to contributors

 Quick Summary – Legal Framework

Key Laws: Constitution (2010), Housing Act (Cap. 117), Housing Fund Regulations (2018), Affordable Housing Act (2024), Employment Act (2007), Finance Act (2018)

Key Institutions: National Housing Corporation (NHC), Affordable Housing Board

Contributions: 3% employer + 3% employee | **Interest Rate:** Up to 7% per annum

 Key Takeaways

- **Constitutional right** to accessible and adequate housing (Article 43)
- **Housing Fund** established under the Housing Act
- **Affordable Housing Board** established by the Affordable Housing Act, 2024
- **Ring-fencing** of Housing Levy funds for housing, infrastructure, and financing
- **Penalties:** Up to 2 years imprisonment OR KES 10,000 fine OR both

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Prepared by the State Department for Housing and Urban Development, Kenya
For more information, visit the **Boma Yangu** portal.